ICT MENTORSHIP CORE CONTENT

ICT FOREX - TIME & PRICE THEORY

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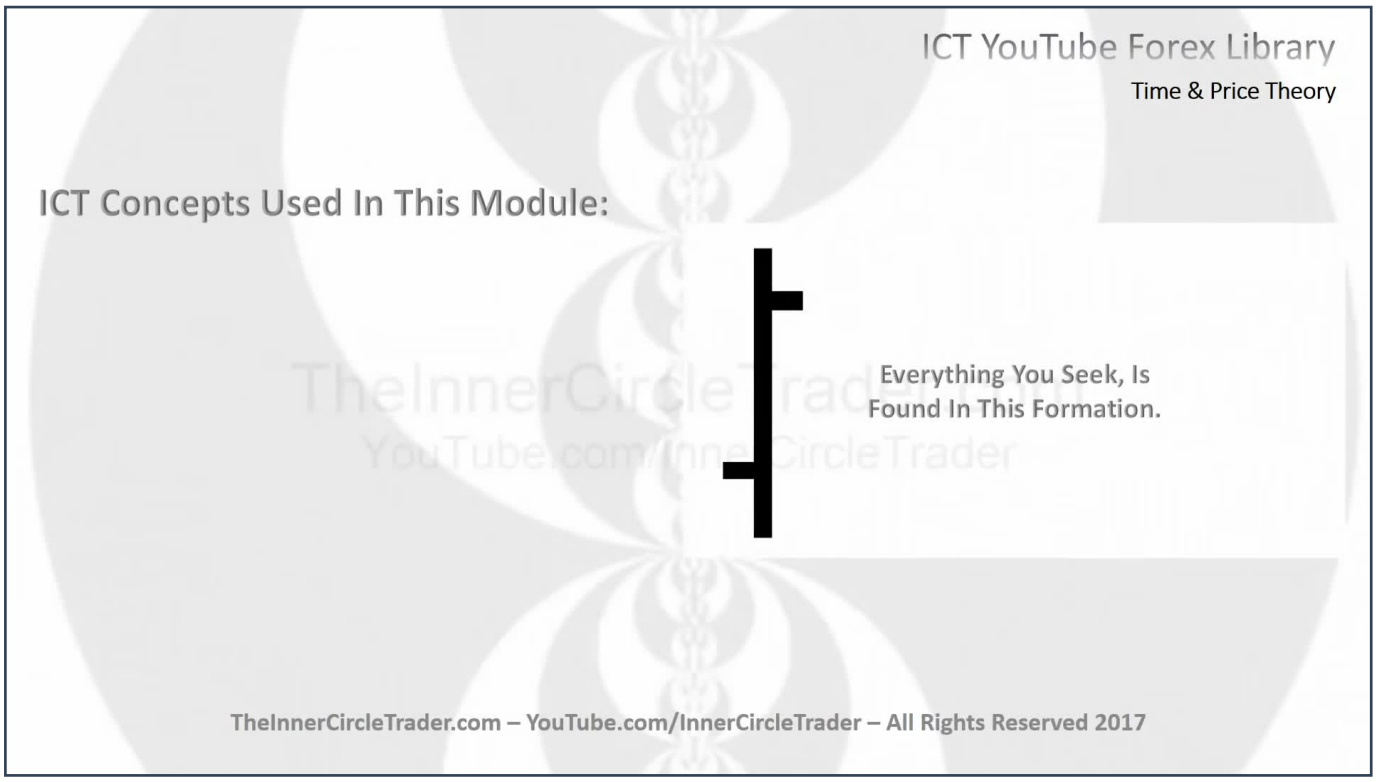
This teaching will specifically deal with Time & Price Theory. While this is a generalized overview and an introduction to Time & Price Theory as taught, it is a very vast subject. Greater detail is provided in free tutorials and premium mentorship, but this teaching will be beneficial nonetheless.



Everything sought in price action is found in the formation of the Open, High, Low, and Close. The ICT concepts used in this module will be:

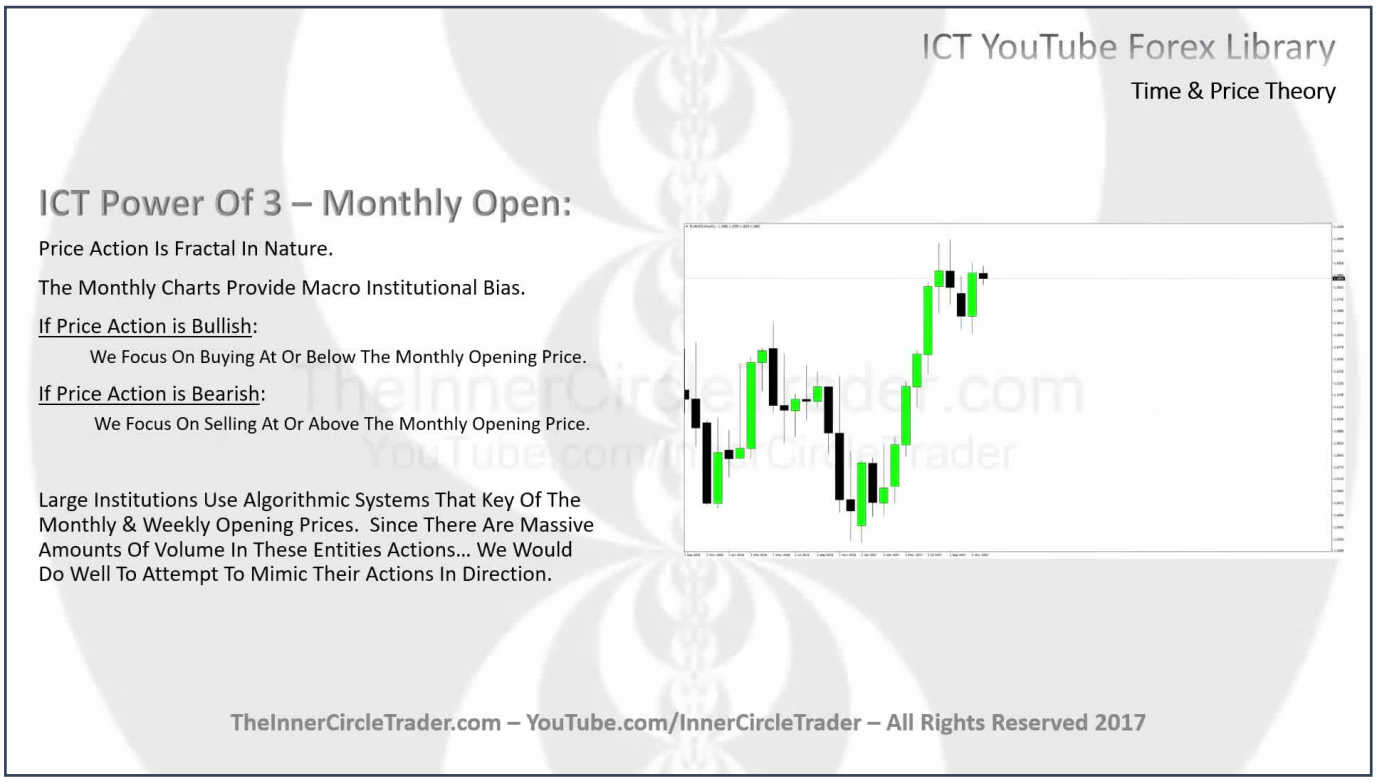
- The importance of time and price

- Revisiting the Power of 3

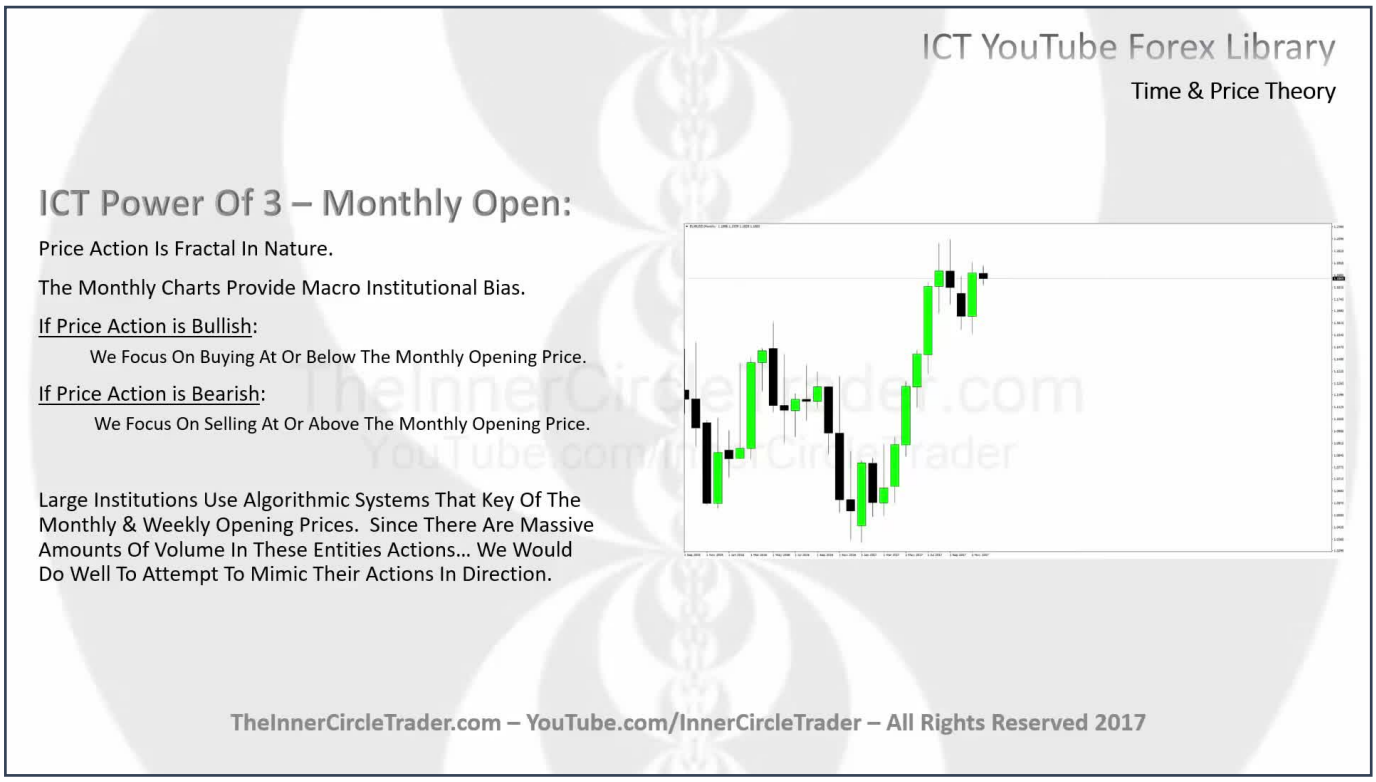
- Specific teaching on Monthly time and price characteristics

- Weekly time and price characteristics

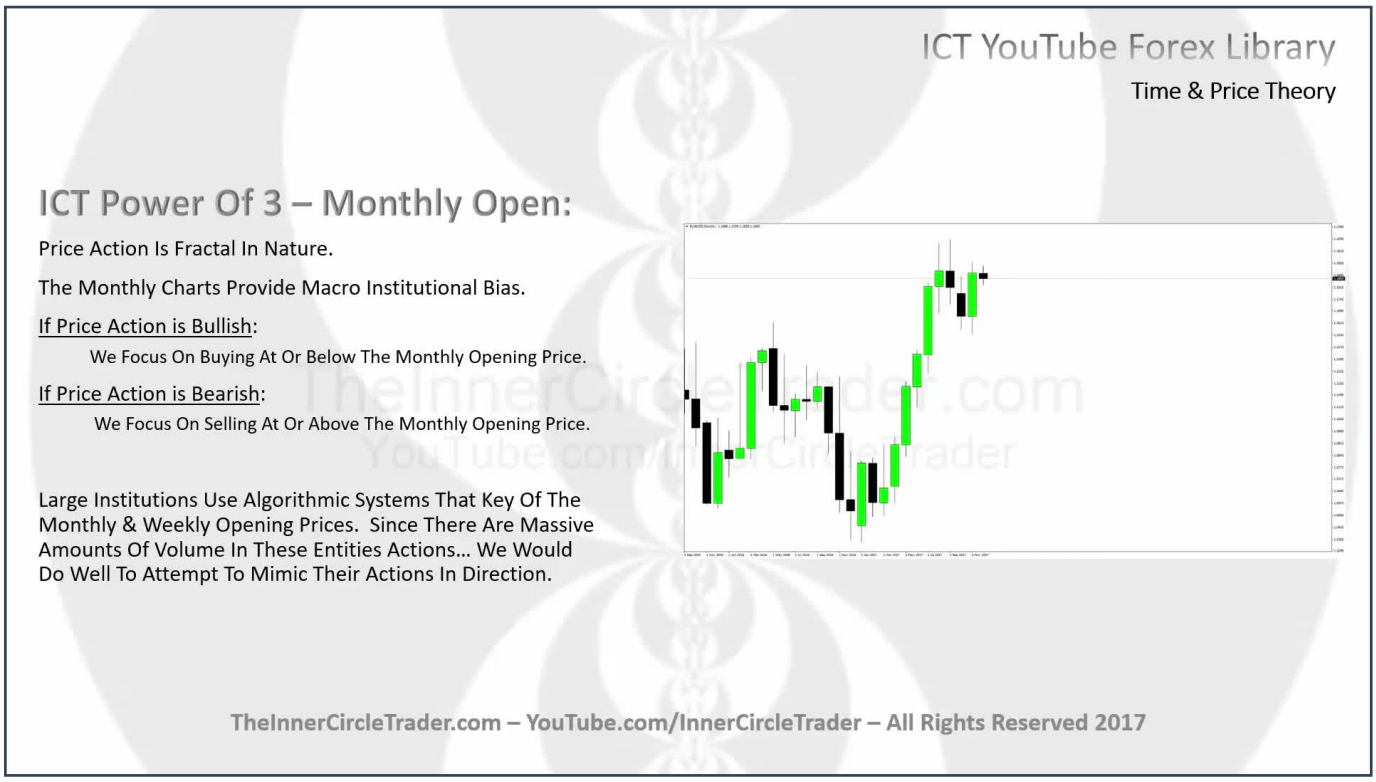
- Daily time and price characteristics



Price action is fractal in nature. This means everything seen in terms of a price pattern on a 1-minute chart or a 5-minute chart can be seen on a monthly chart, weekly, or any timeframe and any interval of time measurement that plots price. The fact that we can see a pattern on any specific timeframe indicates price action has a generic characteristic to it. Whatever is seen on one timeframe can be easily replicated and seen on a lower timeframe or a higher timeframe.



While no one timeframe is inherently better than another, there is an emphasis or significance placed on the higher timeframe charts over the lesser timeframes. For instance, the monthly chart holds the most significance for analysis because it provides the ability to look at a whole year or multi-years, or on a quarterly or biannual basis (six-month intervals). The monthly chart provides all the depth and detail needed from a macro standpoint. The purpose of using a monthly chart is that it provides a macro institutional bias, allowing observation of what large institutions are doing or their sentiment based on these higher timeframe monthly charts.



In a nutshell, if analysis on the monthly chart deems it bullish, traders and analysts should look for buying opportunities at the opening price or below the opening price. If the conclusion is that the monthly chart's perspective is bearish, then the focus should be on selling short at or above the monthly opening price. Large institutions use algorithmic systems that key off of monthly and weekly opening prices. Given the massive amounts of volume involved in these entities' actions, it is beneficial to imitate or mimic their actions and directional bias.

MONTHLY CHART EXAMPLE - EURO DOLLAR BULLISH CALL

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This is a monthly chart of the Euro Dollar. Through previous material, there are teachings on directional bias, picking a direction, sticking with it, looking for key levels, and key targets. In a sample of price action on a monthly basis for the Euro Dollar, for individuals who went through the mentorship in 2016 and 2017, a bullish stance was called in the first quarter of 2017 for the Euro Dollar, with a specific price point of 1.20. Several months later, in December 2017, the 1.20 milestone was indeed hit. This was based on the concepts being discussed, along with other factors for fine-tuning, but it generally started with this concept.

Observe the chart: an old low here, relatively equal. Price attempts to drop lower, goes below these equal lows, and then trades back above those lows. Subsequently, a swing low forms:

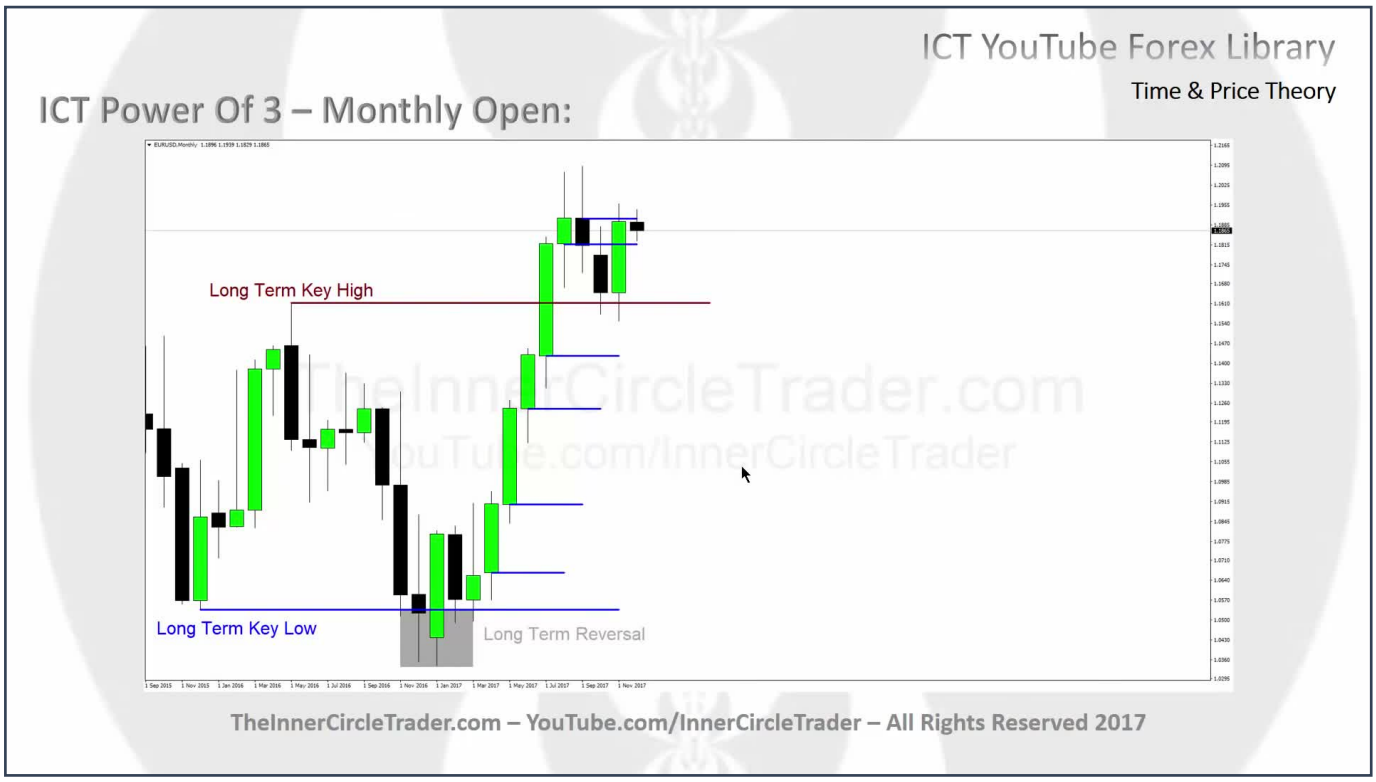
- A candle to the left with a higher low

- A candle in the center

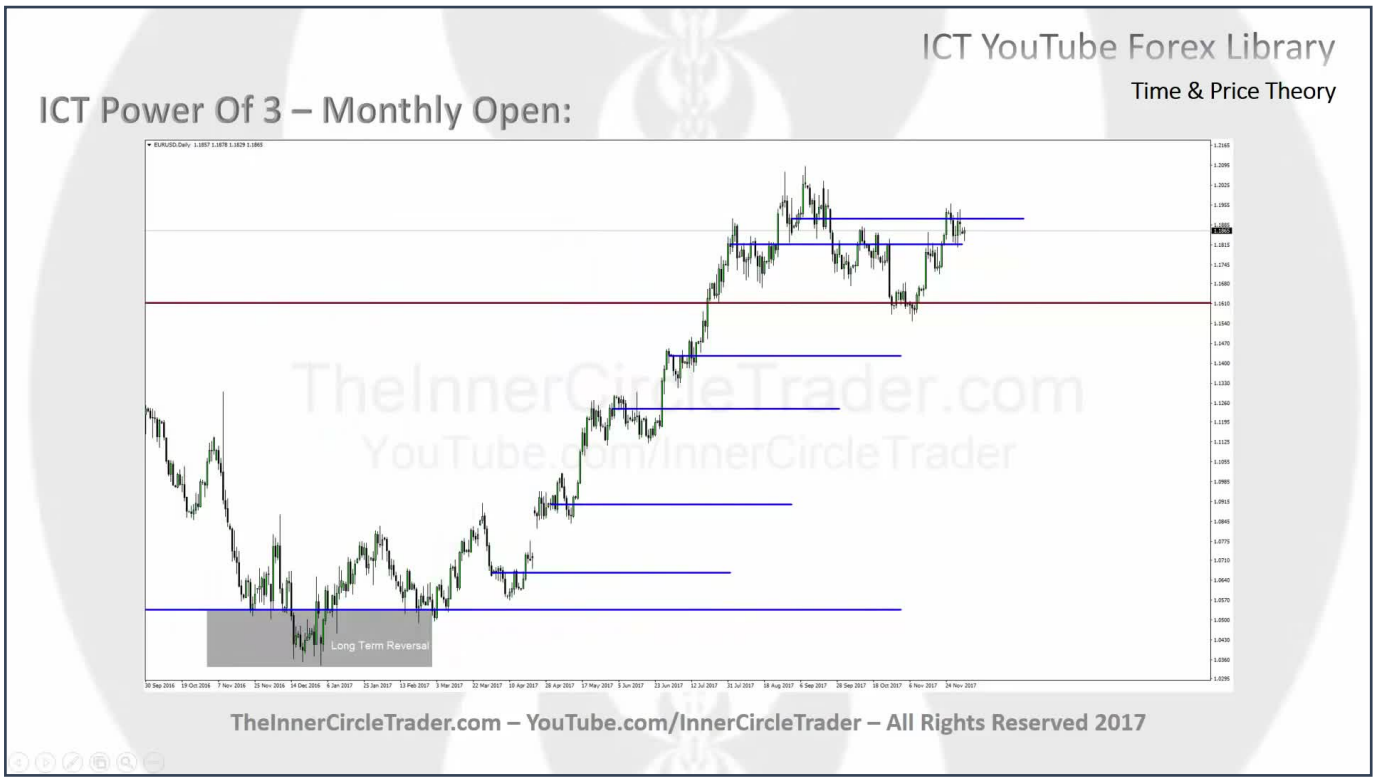
- A candle to the right

This forms a three-bar pattern or swing low. Then, wait for that third candle to be penetrated. Once this occurs, it signals the start of looking for bullishness on the monthly chart for the Euro Dollar. Even if the previous month had a weaker close, if it was an up-close and the swing pattern for a swing low was broken, every subsequent candle should be viewed as bullish until a key resistance level is reached. This key high caused a market turn, so focus should be kept here. Just as market movement went below the previous low for liquidity, it is understood price will want to go above this high to seek some measure of liquidity.

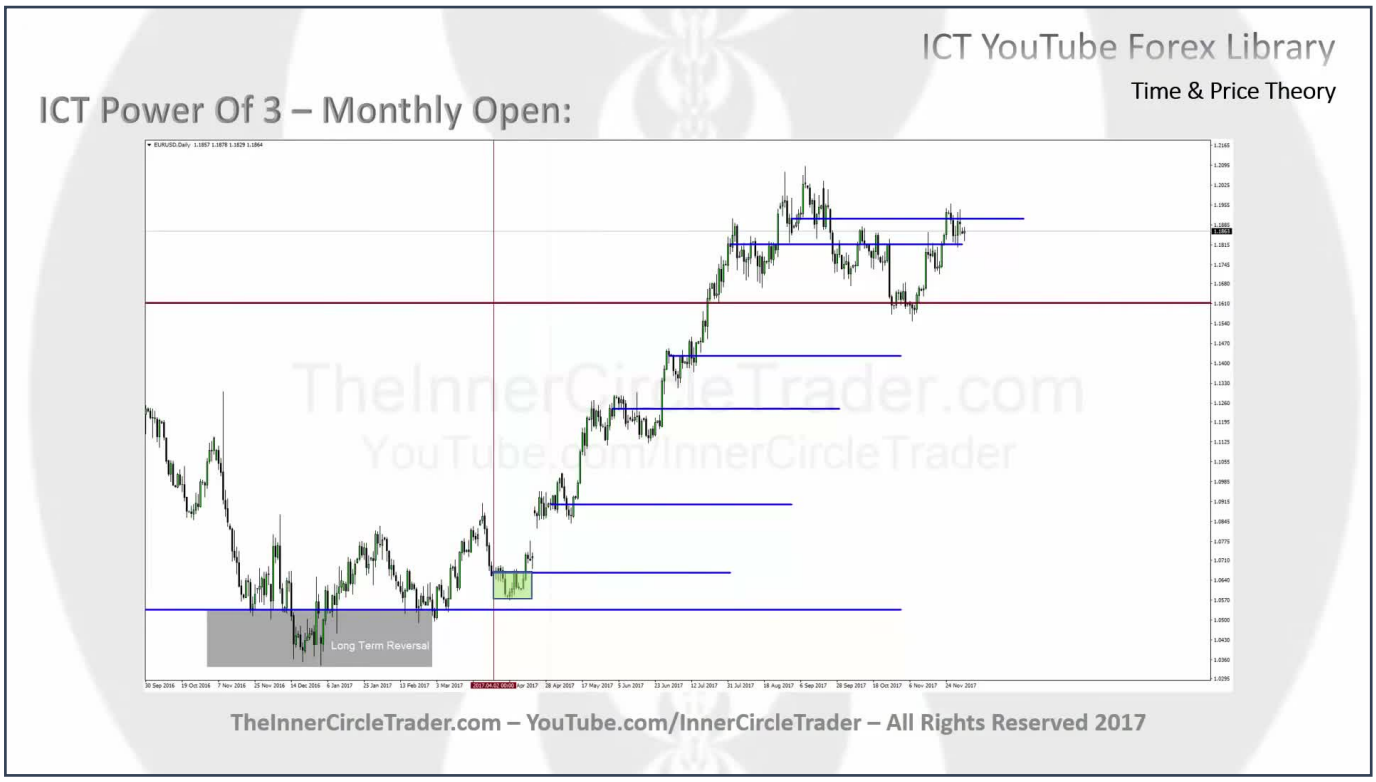
Adding detail to the chart: a long-term key low is identified, and a long-term reversal in the form of a false break below a swing low forms. Then, the opening prices on subsequent months are delineated (each candle represents one full month's data). A long-term key high is noted, indicating a potential move above this high, which represents a significant number of pips. While active with day trading and scalping to demonstrate proficiency on lower timeframes, tools and applications also work on higher timeframe charts for those who cannot day trade due to commitments. This style of trading is personally not preferred due to its slow nature, but methods exist to assist those requiring a larger or higher timeframe perspective.



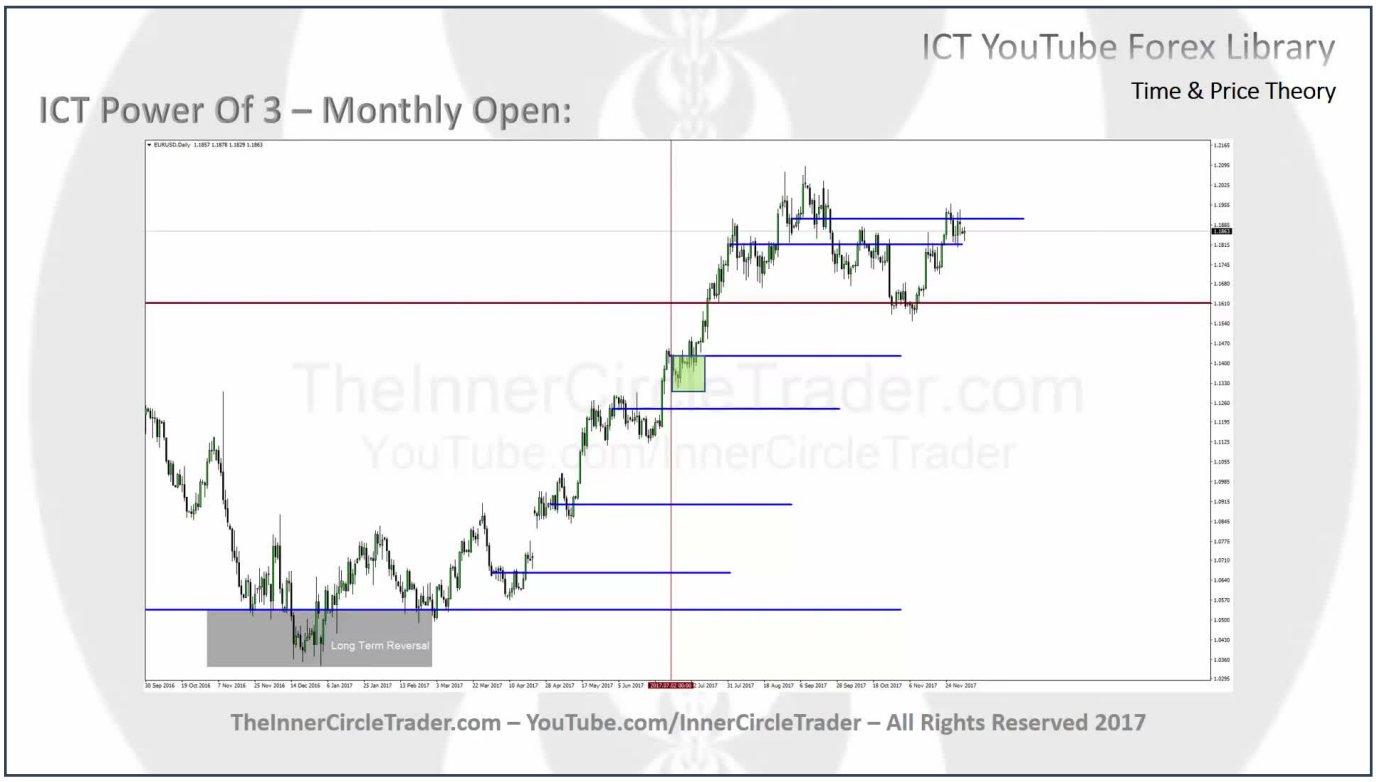
A monthly chart shows opening prices after a swing low and a violation of an old low. Once price begins to trade back above that low, validation for the swing low is sought. This validation occurs in the referenced month. This provides ample time, several months before the bullish hunt begins, for preparation. It doesn't require constant chart monitoring; awareness of the swing low needing validation and its subsequent occurrence (trading above the candle's high) is sufficient.



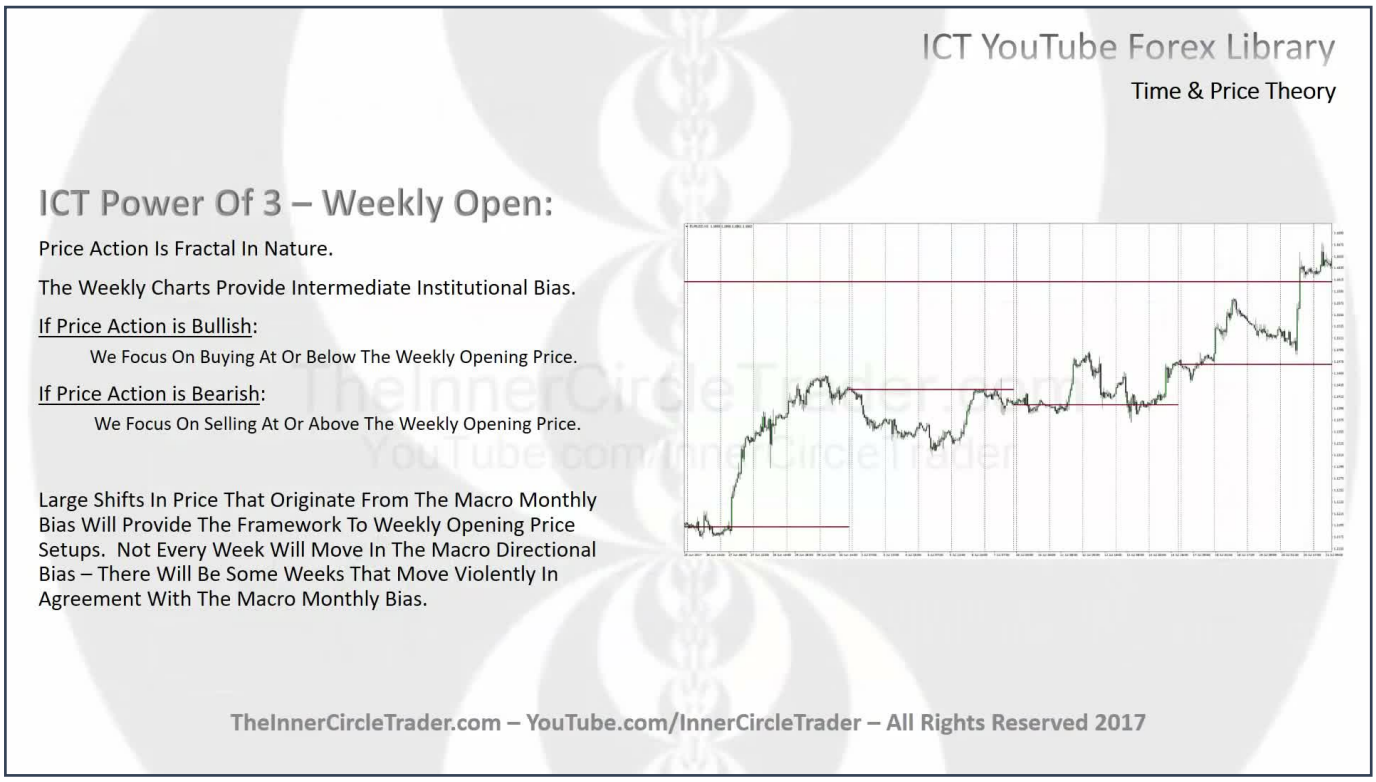
Now, observe the daily chart of the Euro Dollar. Every specific monthly opening price is delineated with a small horizontal trend line segment. Each short horizontal trendline represents a monthly open. Beginning with April 2017, with a potential long-term reversal identified, buying opportunities are sought, along with validation in price action. For a bullish scenario, price action signatures supporting this idea are desired: the opening price and below it should show bullishness or buying. This involves identifying if a swing low forms below the monthly opening price, showing energetic price action moving higher with magnitude, strength, and speed once the low forms. This is observed in April 2017, where a reference point below the April opening price provides a buying opportunity, with many instances overlapping for optimal trade entry.



Moving to May 2017, again the opening price is observed for a willingness to go below the opening price and then find buying. This occurs with a very strong reaction in price action, and the market moves aggressively upside. Continuing to June 2017, the opening price of June is delineated, and buying below it is observed, leading to nice accelerated movement upside. In July 2017, with the opening price delineated, a movement below the opening price followed by buying is sought, which presents a nice optimal trade entry long pattern and very explosive price action up to the horizontal maroon line, representing the old long-term high. This level is hit in July.



After hitting the long-term high in July, large expectations of being bullish must be eased. This doesn't mean abandoning the idea entirely but becoming less aggressive. In August 2017, a similar pattern unfolds: movement below the opening price of August, followed by a nice rally. Price moves about 400+ points or pips above the old long-term high. This demonstrates that for longer-term timeframe levels, a greater expectation of magnitude or range for movement past these price points is needed, unlike the 10-20 or 30-pip sweeps often seen on intraday charts. While Fibonacci is used to help target these levels, it's not always accurate; sometimes it falls short, sometimes it goes beyond. This is part of technical analysis and trading; perfection is not attainable, but over time, this method proves very beneficial.



These ideas can also be transposed to the weekly opening price. This forms the framework for 'One Shot One Kill' trading, which essentially involves trading the weekly range. The weekly charts provide an intermediate institutional bias, meaning it's neither long-term nor short-term, making it a good timeframe for swing trades or slightly longer short-term trades (two weeks to a month). When analysis leads to a bullish weekly perspective, the focus should be on buying at or below the weekly opening price. When bearish on a weekly, the focus shifts to selling short at or above the weekly opening price. Large shifts in price originating from the macro monthly bias will provide the framework for weekly opening price setups.

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Time & Price Theory

ICT Power Of 3 – Weekly Open:

Price Action Is Fractal In Nature.

The Weekly Charts Provide Intermediate Institutional Bias.

If Price Action is Bullish:

We Focus On Buying At Or Below The Weekly Opening Price.

If Price Action is Bearish:

We Focus On Selling At Or Above The Weekly Opening Price.

Large Shifts In Price That Originate From The Macro Monthly Bias Will Provide The Framework To Weekly Opening Price Setups. Not Every Week Will Move In The Macro Directional Bias – There Will Be Some Weeks That Move Violently In Agreement With The Macro Monthly Bias.

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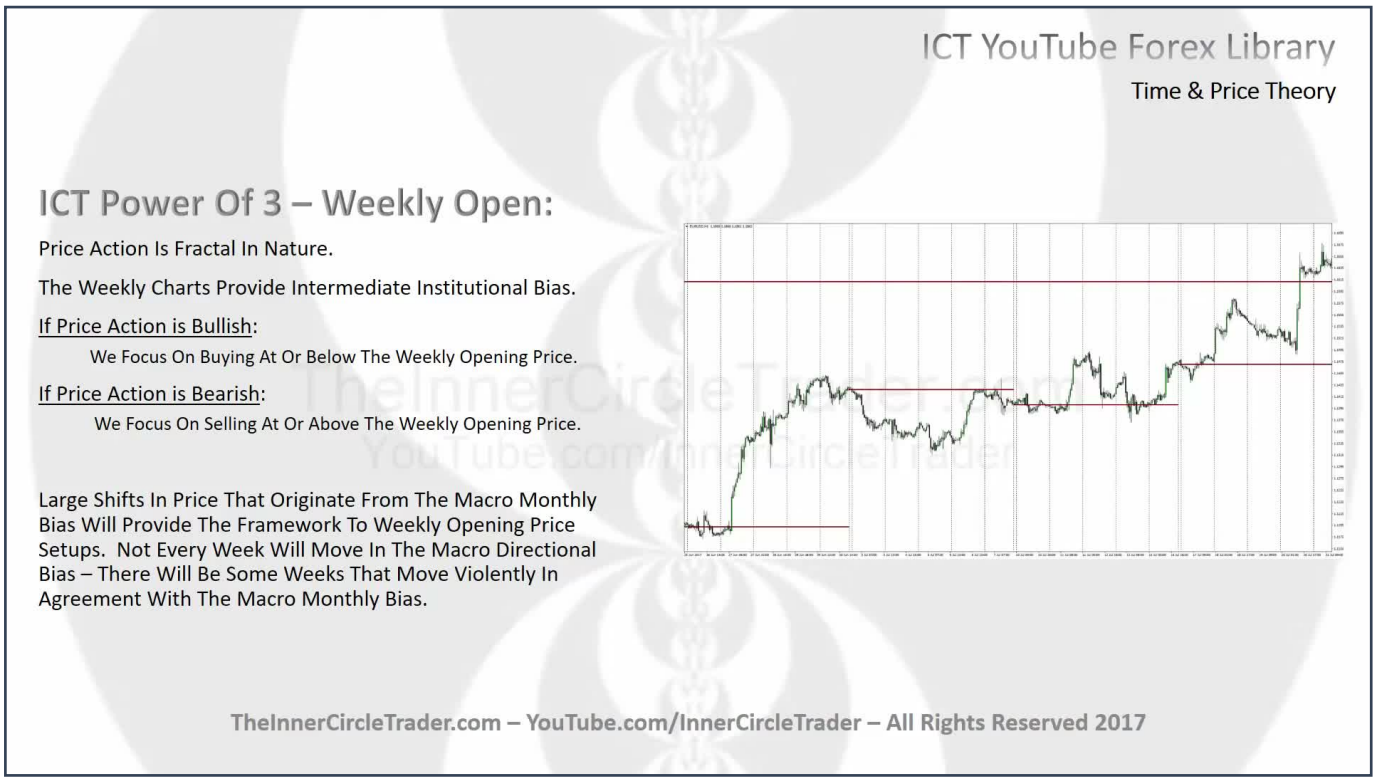
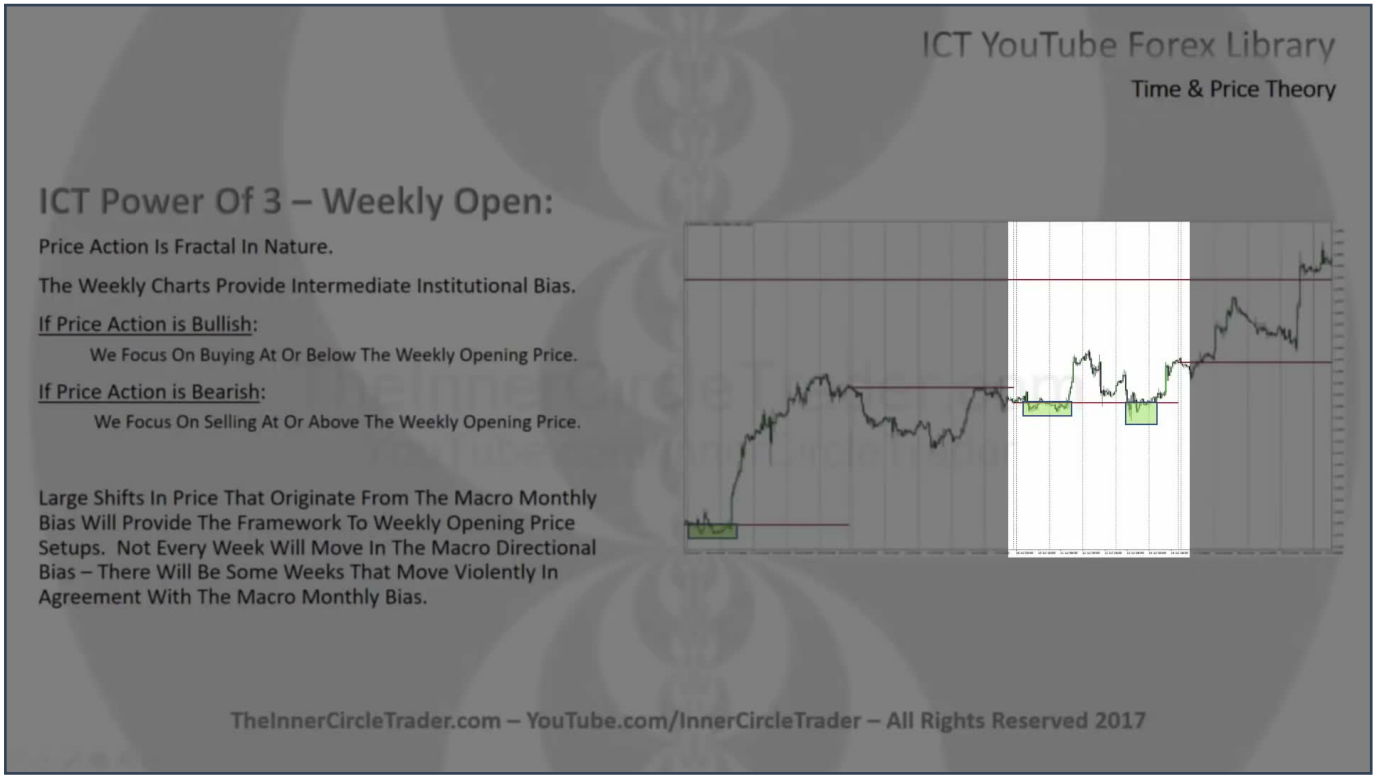
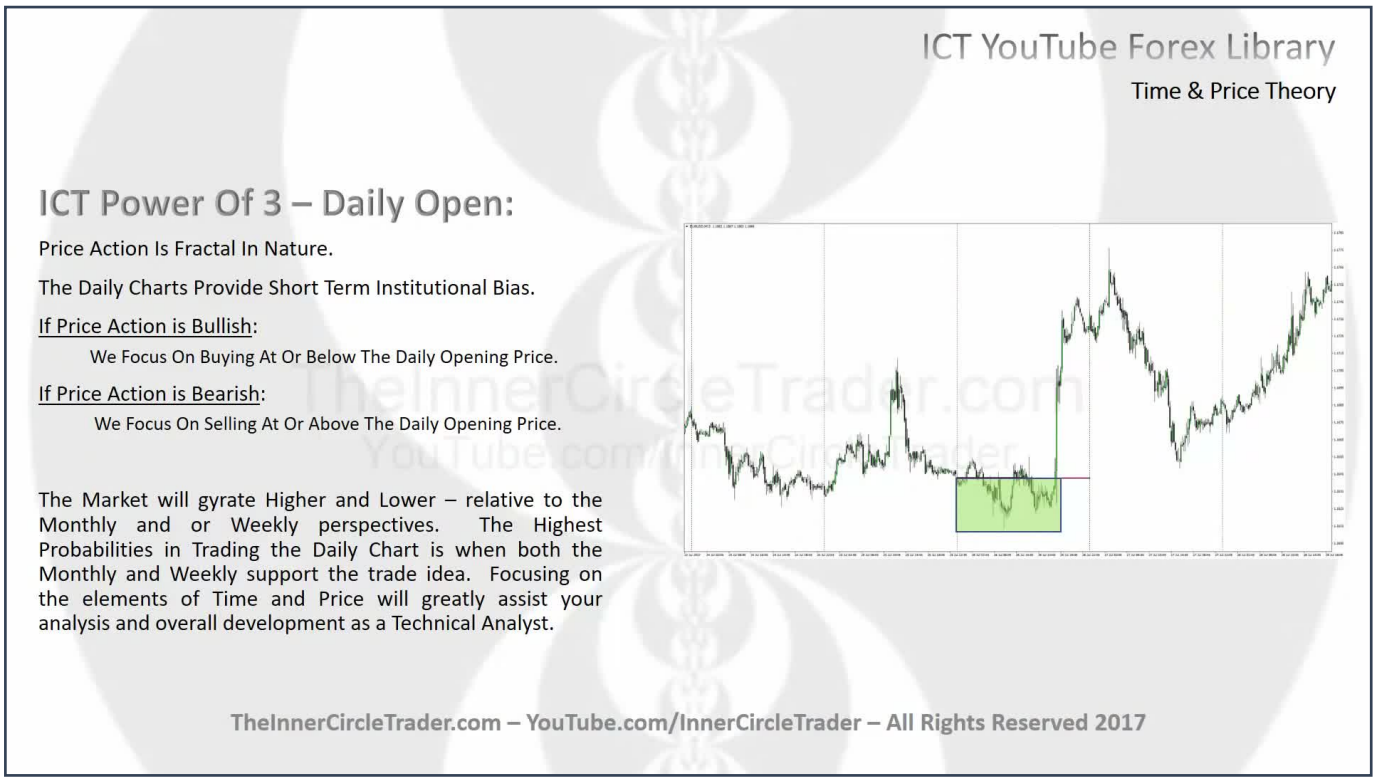
It's important to remember that not every week will be bullish or bearish, nor will every week move in the macro directional bias. However, there will be some weeks that move violently in agreement with the macro monthly bias. Just like retracements on any other timeframe, a longer-term bullish macro monthly perspective may involve the weekly enduring some measure of retracement or consolidation.



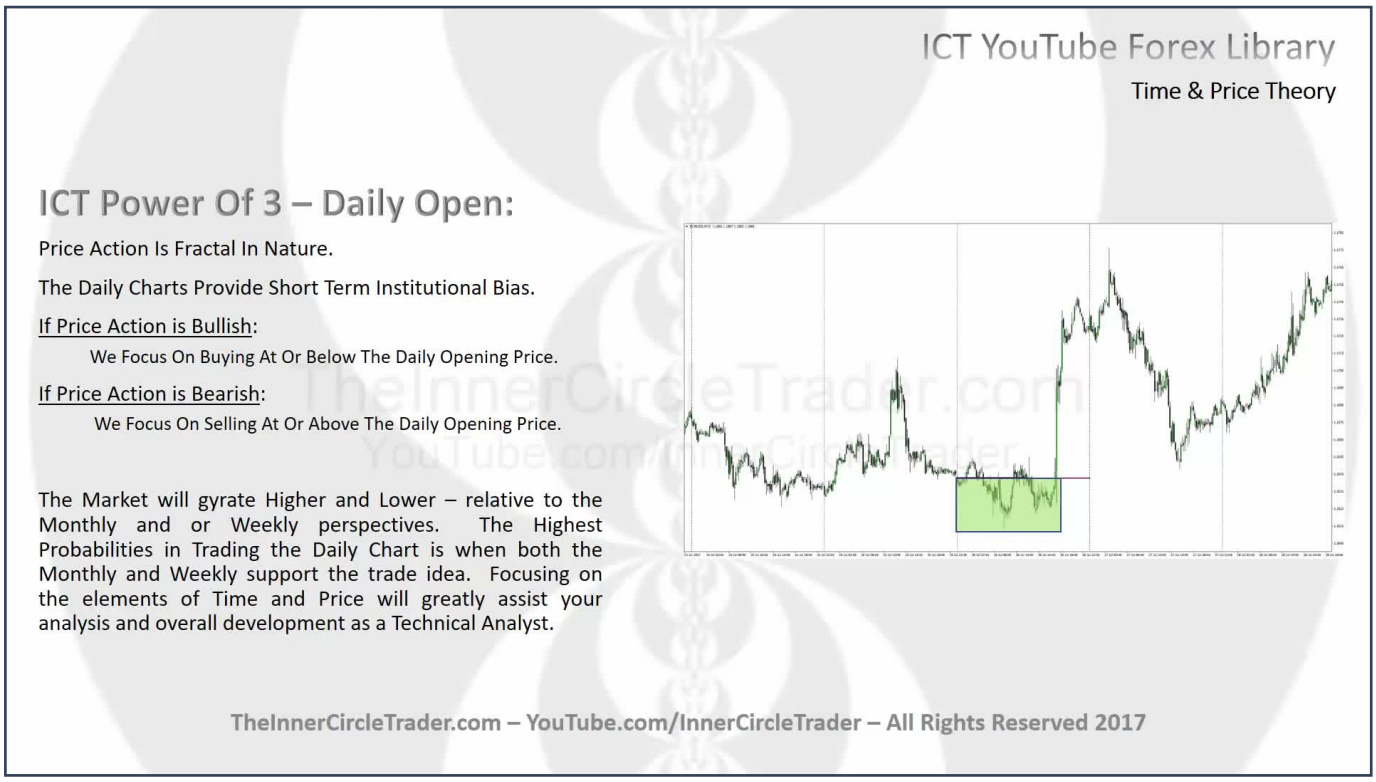
This chart shows four weeks of price action, with the opening price for each respective week delineated. Observe the response price shows below the opening price when bullish. Price makes a very nice buying opportunity in the green-shaded area and rallies higher. However, price can get too far ahead of itself and needs to retrace. So, the next week, even though there's a weekly opening price and it trades below it, be mindful it may need to retrace deeper. Following a retracement and slight consolidation, another opportunity arises where price shows a willingness to exhibit buying strength below the opening price of the weekly range. Later in that week, on Thursday, another opportunity appears after taking out the equal lows formed on Monday and Tuesday of that particular week. Both Monday and Tuesday offered profitability, but then on Thursday, a deep retracement occurred, going below Monday and Tuesday's lows. However, looking at the previous week, Wednesday's low to this high is an optimal trade entry long, overlapping with a run on sell stops below equal lows.



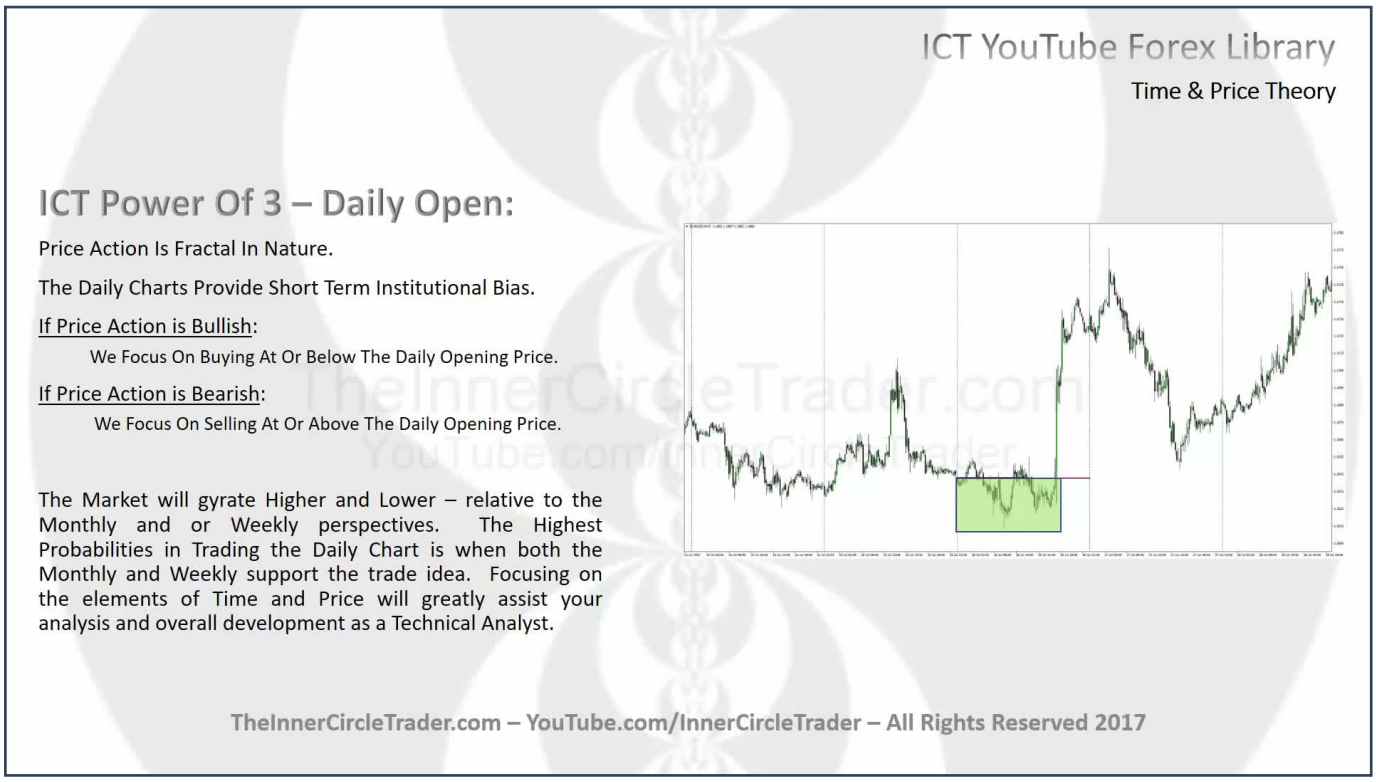
A subsequent explosive move to the upside is observed. In the following week, on Monday, a very nice buying opportunity is created, and an explosive price movement ensues, trading on Monday into Tuesday. Then, during Wednesday and Thursday, there is a retracement, and in New York on Thursday, an exclusive price move occurs again, trading up into that long-term weekly high.



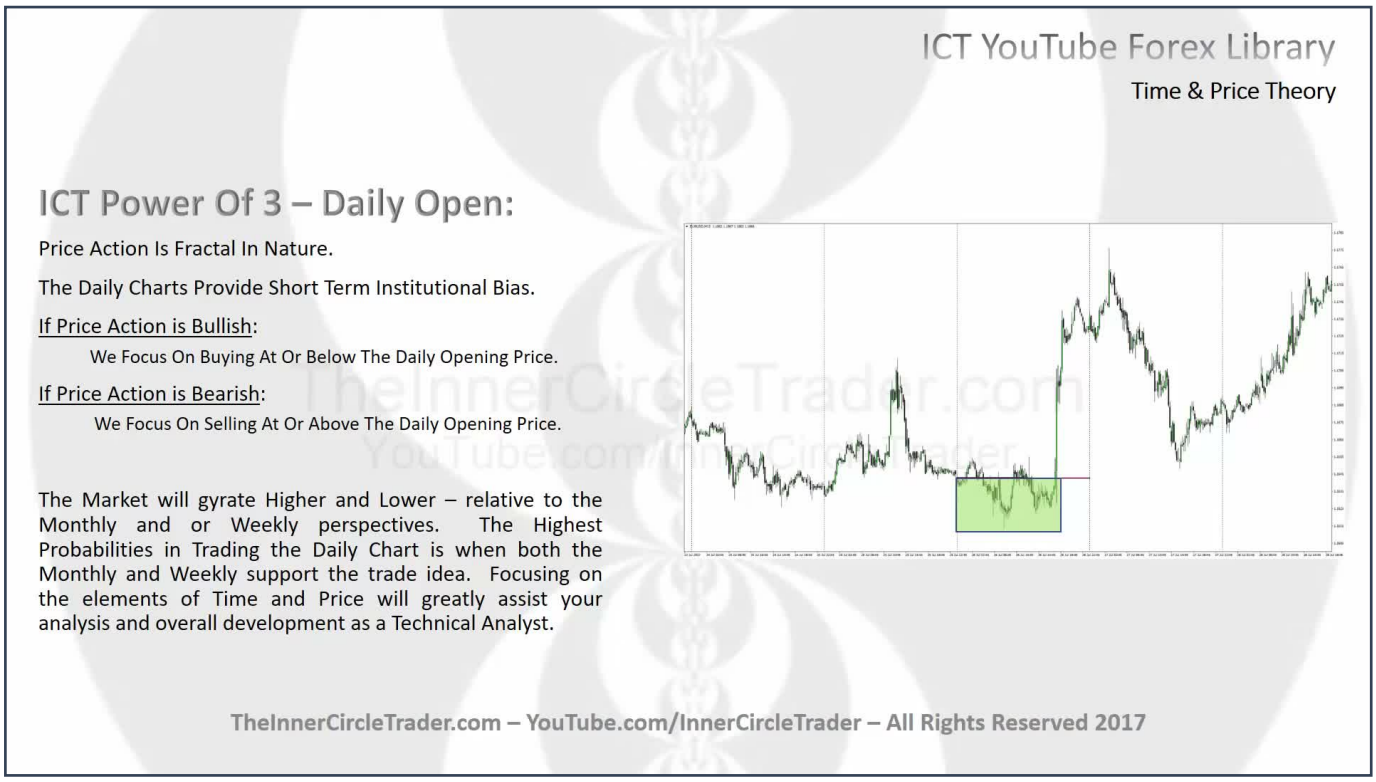
To complete this teaching, reference is made to the opening price on the daily chart. Again, price action is fractal, and patterns seen on other timeframes can be seen on the daily as well. The daily chart provides a short-term institutional bias, reflecting what large institutions, insurance companies, and banks are looking at relative to the daily timeframe. For day traders and scalpers, the daily is a higher timeframe. For institutionally-minded traders, the daily is their executable timeframe, where most of their work and orders are based. That's why it's important to know previous day's highs and lows, weekly highs and lows, and intraday highs and lows, and understanding liquidity reference points. These specific levels will help in the development as a technical analyst.



If bullish relative to the daily timeframe, look to be buying at or below the daily opening price. If bearish on the daily, focus on selling short at or above the daily opening price. The market will gyrate higher and lower relative to the monthly and/or weekly perspectives as mentioned. The highest probabilities for a trade on the daily chart occur when both the monthly and weekly charts support the trade idea being used or hunted. Focusing on the elements of time and price will greatly assist in analysis and overall development as a technical analyst.



Observing a representation of a daily range, only one specific day is highlighted. The teaching is not to promote the idea that if the monthly is bullish, every week will be bullish below its opening, or every day will be bullish below its daily opening. Equally, when the weekly is bullish, it doesn't translate into every day below the opening price being bullish. There will be times when analysis concepts must be blended to arrive at the highest probability setups. Even day trading is not an 'every day trading' activity. While tools can demonstrate opportunities daily, it takes immense effort and experience (25+ years for the speaker) to consistently find setups, and even then, sometimes one can be wrong. New students should not aim to trade every single day, as that is not the intention being promoted.



This teaching's purpose was to highlight the importance of moving from a higher timeframe down to a lower timeframe, using a similar concept that overlaps and dovetails very nicely. It is crucial to go through charts and study when there are genuinely good opportunities, like the example here for daily buying below the opening price. Observe how that setup relates to the weekly range and the monthly range, and their respective opening prices. By studying this, traders will figure out where the highest probability setups are. This doesn't mean guaranteeing entry points, but rather highlighting the proper stage when explosive, directionally biased price moves happen. Hopefully, this teaching was insightful.